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Co-operative Kenya
Q3 Earnings Note

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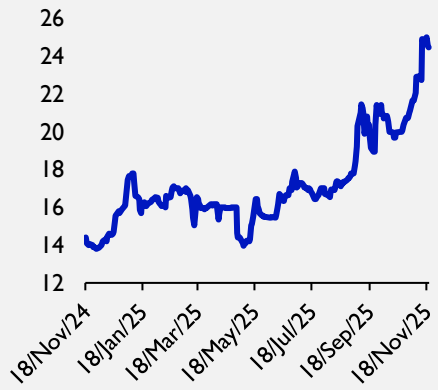
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Co-operative Bank Q3'25 Earnings Note

21st November 2025

Ticker Information	
NSE Code:	COOP
Issued Shares (Bn):	5.87
52-week high:	KES 25.2
52-week low:	KES 10.10

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	22.8%	42.3%	58.4%	70.5%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
HOLD	KES 24.45	KES 25.79

Summary

- **Co-operative Bank posted 12.3% y/y growth in net earnings, coming in at KES 21.56 Bn from KES 19.21 Bn in the same period last year.** Key drivers - improved net interest income, which reached KES 45.38 Bn from KES 36.87 Bn, translating to a 22.8% y/y improvement on the back of increased net loans and advances. In addition, a 31.9% y/y ease in provisions for impairments and a 9.0% y/y decline in interest expenses helped lift the bottom line. A key highlight from the bank's earnings was its first ever interim dividend of KES 1.0 per share; the lender demonstrated commitment to generating value for shareholders.

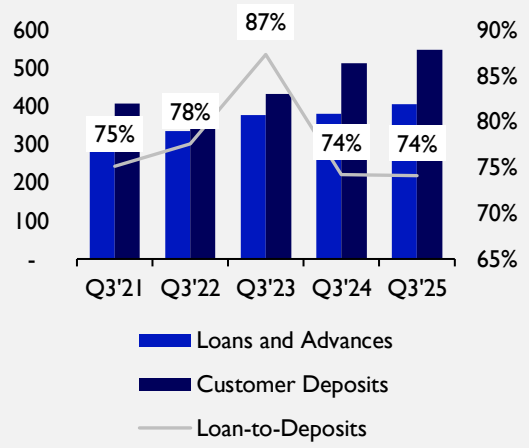
Key Highlights

- **Earnings Performance:** Interest from loans and advances rose 7.2% y/y to KES 42.23 Bn from KES 39.41 Bn on the back of an expanding loan book, which reached KES 406.52 Bn as credit demand in the country continues to pick up, especially in the private sector, supported by the continuous recovery of the business environment. This is expected to continue in the near term. Interest from government securities jumped 12.4% y/y to KES 22.22 Bn, coinciding with an increase in government holdings during the period under review. Non funded income slowed by 0.8% y/y to remain relatively flat; foreign exchange income remained subdued, a scenario that has continued to take shape through the year, sliding by 44.5% y/y to KES 2.92 Bn due to a stable Kenya shilling diminishing trading margins(as banks are now shifting FX business to a volumes game to make up for reduced margins). Other fees helped offset the decline in FX income, rising to KES 9.65 Bn from KES 8.83 Bn. Interestingly, the South Sudan subsidiary posted a 176.7% jump Profit Before Tax to KES 93.51 Mn, a commendable feat. The performance was lifted by the resumption of oil production and export business, despite the country being in a hyperinflation environment.
- **Asset quality –** Gross Non-Performing Loans jumped 12.7% y/y to KES 78.93 Bn, highlighting challenges in loan repayments**.** To counter the rising stock of NPLs, the lender beefed up its provisions to KES 45.22 Bn from KES 37.24 Bn. Consequently, Gross NPL coverage rose to 63.7%. Building and Construction accounted for the largest portion of the NPLs at 52.9% primarily due to pending bills. The lender is optimistic that government commitment to settle pending bills will help unwind NPL levels in this sector.

Balance Sheet Dynamics

Total assets grew by 8.6% y/y to KES 815.27 Bn. 84.0% of total assets remain denominated in local currency, while foreign currency accounted for 15.8%. The lender continued to park liquidity in government securities, with total holdings reaching KES 255.43 Bn from KES 211.65 Bn, a 20.7% y/y jump. This points out the bank's cautious stance amid heightened NPL levels, coupled with subdued credit demand, especially during the first half of the year. The loan book expanded 6.6% y/y to KES 406.52 Bn from KES 381.34 Bn on the back of gradual uptake in loans by the private sector while entering the second half of the year. On the other hand, total liabilities increased 5.0% y/y to KES 650.75 Bn. Customer deposits grew 6.7% y/y to KES 548.58 Bn from KES 513.98 Bn. Deposits were largely denominated in local currency, while Current and Savings Deposits accounted for 55.8% of total deposits compared to 44.2% in term and call deposits. Banks prefer Current and Savings Deposits since they are cheaper and help keep the cost of funds at low levels. Notably, retail deposits contributed the largest portion of total deposits at 26.1%.

Chart 2: Faster Deposit Mobilization

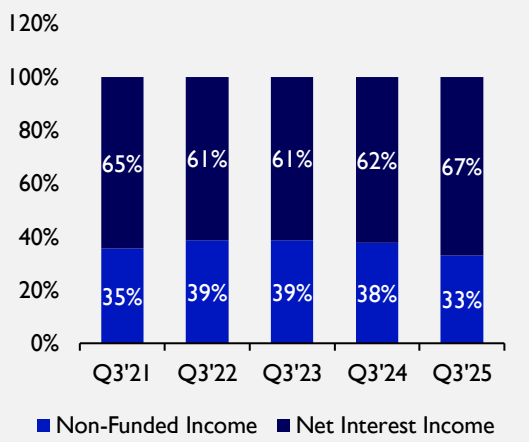


Source: Company filings, AIB-AXYS Research.

Outlook

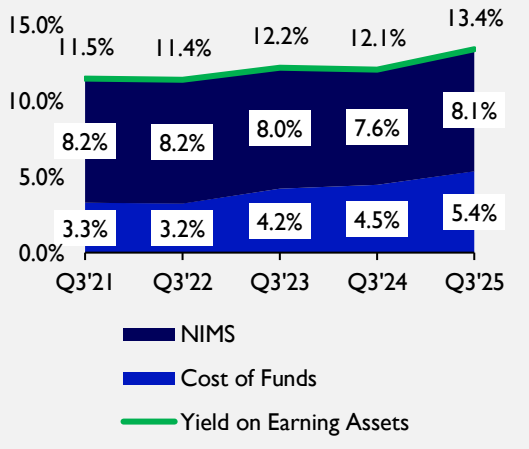
In our in-house assessment we foresee KES 1.0 in the final dividend, which would match the bank's historic payout ratios while keeping in mind the need for funds to expand and execute its strategies. We can see growth pockets in the lender's subsidiary businesses, with most segments reporting double digit growth year on year, which is commendable. Co-op Bancassurance remains very resilient with profit before tax of KES 1.15 Bn, a 39.7% y/y increase amid a competitive industry environment, and this will remain a key driver for the Group. The South Sudan subsidiary is another promising contributor to the Group's earnings. Despite hyperinflation and liquidity challenges in the South Sudan market, there remain tangible recovery prospects on the back of the resumption in oil exports, a major driver of the country's GDP, which should augment growth. In the Kenyan market, a tactical approach in managing the cost of funds as interest rates keep cooling will sustain profit margins in the near term, coupled with growth in private sector credit as borrowing rates soften in an accommodative monetary environment, which should boost interest income. We opine that Co-op's lending model, which has a high concentration in the retail segment, positions the bank for long term profitability through cross selling opportunities and also reduces risk concentration. NPL stock remains high; however, increasing provisioning offers comfortable coverage. The heavily affected building and construction sector may see NPL levels soften if the government commits to gradually settling pending bills. Falling interest rates also offer a glimmer of hope that borrower distress may reduce, which could potentially lower loan defaults.

Chart 3: Revenue Distribution



Source: Company filings, AIB-AXYS Research.

Chart 4: Margins Trend



Source: Company filings, AIB-AXYS Research.

Recommendation

- **We issue a *HOLD* recommendation on Cooperative Bank at current price level. The bank's outlook is strong driven by a resilient core business and growth prospects across subsidiary businesses.** At the current market price, the stock is trading at P/E ratio of 5.2x and a P/B ratio of 0.9x. Our one-year target price for Cooperative currently stands at KES 25.79 - representing a c. 5.5% upside potential from current levels.

Income Statement (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Net Interest Income	28.67	32.04	32.82	36.87	45.28	▲ 22.8%
Net non-Interest Income	15.73	20.17	20.59	22.28	22.11	▼ (0.8%)
Total Operating income	44.40	52.21	53.41	59.16	67.38	▲ 13.9%
Provision for Impairment	(6.05)	(5.73)	(4.21)	(5.58)	(7.36)	▲ 31.9%
Total Operating expenses	(27.96)	(29.63)	(29.00)	(32.68)	(37.72)	▲ 15.4%
Profit before tax	16.48	22.73	24.69	26.78	30.03	▲ 12.1%
Profit after tax	11.63	17.10	18.39	19.21	21.56	▲ 12.3%
Annualized EPS	2.64	3.89	4.18	4.36	4.90	▲ 12.3%

Balance Sheet (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Government Securities	193.32	186.40	185.13	211.65	255.43	▲ 20.7%
Loans and Advances	306.32	335.16	378.08	381.34	406.52	▲ 6.6%
Total Assets	592.89	622.10	661.34	750.78	815.27	▲ 8.6%
Customer Deposits	407.69	432.00	432.84	513.98	548.58	▲ 6.7%
Total Liabilities	497.50	520.89	553.22	620.02	650.75	▲ 5.0%
Shareholder's Funds	95.04	100.89	108.08	131.83	164.16	▲ 24.5%

Ratio Analysis	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	% y/y change
Spreads Analysis						
Yield on Assets	11.5%	11.4%	12.2%	12.1%	13.4%	▲ 1.3%
Cost of Funds	3.3%	3.2%	4.2%	4.5%	5.4%	▲ 0.9%
Net Interest Margin	8.2%	8.2%	8.0%	7.6%	8.1%	▲ 0.4%
ROaE	9.2%	22.5%	22.3%	19.0%	18.8%	▼ (0.3%)
ROaA	1.5%	3.6%	3.6%	3.2%	3.6%	▲ 0.3%
Profit Margin	26.2%	32.7%	34.4%	32.5%	32.0%	▼ (0.5%)
Operating Efficiency						
Cost to Income Less LLP	49.4%	45.8%	46.4%	45.8%	45.1%	▼ (0.8%)
Cost to Assets Less LLP	3.7%	3.8%	3.7%	3.6%	3.7%	▲ 0.1%
Loan to Deposit Ratio	72.9%	77.6%	87.3%	74.2%	74.1%	▼ (0.1%)
Asset Quality						
Gross NPL Ratio	14.9%	14.2%	15.1%	16.7%	17.5%	▲ 0.7%
NPL Coverage	65.5%	69.3%	62.1%	60.5%	63.7%	▲ 3.2%
Capital Adequacy						
Core Capital/TRWA	15.0%	15.7%	17.9%	18.5%	20.3%	▲ 1.8%
Total Capital /TRWA	16.5%	16.8%	22.1%	21.6%	22.7%	▲ 1.1%
Liquidity	56.5%	52.1%	50.3%	57.8%	61.0%	▲ 3.2%

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